

Chapter Introduction

Peter Macdiarmid/Getty Images Europe/Getty Images

Learning Objectives

After studying this chapter, you should be able to

- understand the industry conditions conducive to cooperation and collusion.
- outline how formal institutions affect domestic and international competition.
- articulate how resources and capabilities influence competitive dynamics.
- identify the drivers for attacks, counterattacks, and signaling.
- discuss how local firms fight multinational enterprises (MNEs).
- participate in two leading debates concerning competitive dynamics.
- draw implications for action.

Opening Case

Patent Wars and Shark Attacks

The number of worldwide patent applications has shot up from about 800,000 a year in the 1980s to two million a year in the 2000s. The number of patent lawsuits has also skyrocketed. In the hotly contested mobile arena, Apple sued Samsung, Nokia, and HTC for patent violations. In retaliation, Samsung, Nokia, and HTC countersued Apple for patent violations. Kodak also sued Apple and Blackberry. Oracle and Xerox sued Google. Hardly a week goes by without a new lawsuit in “patent wars.”

Worldwide, the two tech titans Apple and Samsung fought more than 20 cases in nine countries, which not only include the United States and South Korea, but also Australia, Britain, France, Germany, Italy, Japan, and the Netherlands. In the United States, Apple won a landmark US\$1 billion ruling in its favor. But its home court advantage did not go very far. Samsung appealed and was able to reduce the damages to US\$290 million. In another US lawsuit Apple filed, it won US\$120 million damages. However, Samsung won favorable rulings in South Korea, Japan, and Britain. In South Korea, Apple was found to infringe on two Samsung patents, while Samsung was found to violate one Apple patent. The court awarded small damages to Samsung. In Japan, Samsung was not found to violate Apple’s patents and Apple was ordered to reimburse Samsung’s legal costs. In Britain, Samsung won. Apple was required to publish a statement on its own website and in the media that Samsung did not violate Apple’s intellectual property. The mess around the world is far from over. In short, these patent wars can be summarized as “iPhone, uCopy, iSue.”

In many rapidly developing but patent-choked industries, inadvertently tripping over someone else’s patents is a real danger. The open secret, according to the *Economist*, is that “everyone infringes everyone else’s patents in some way.” This creates an incentive for firms to engage in an “arms race” in filing and hoarding patents. In patent wars, patents are both defensive and offensive weapons.

Contrary to popular thinking, many patents are not truly novel and nonobvious. *BusinessWeek* opined that the United States is now “awash in a sea of junk patents. Some are just plain silly, such as a patent for ‘a method of exercising and entertaining cats’ (basically teasing them with a laser pointer).” Such “massive overpatenting,” according to critics, has resulted in a “patent epidemic.” Escalation of patenting obviously costs firms a lot of money: on average, one patent costs half a million dollars. But, firms are rational. Strategically patenting a portfolio of inventions around some core technologies allows them to gain an upper hand in patent lawsuits and negotiations. Patent lawsuits are becoming very predictable. Firm A sues Firm B for patent infringement. B digs through its own patent portfolio and discovers that some of its own patents are infringed by A. So B countersues A.

To avoid costly and mutually destructive exchange of endless patent lawsuits, both typically reach cross-licensing deals that, after exchanging small sums of money, give each other the rights to the patents.

But here is a catch: to be a party to such exchange, a firm needs to have a sufficiently large hoard of patents. As a young firm, Google, prior to 2011, only had 307 mobile-related patents. As a result, Google was vulnerable when compared with Blackberry's 3,134 mobile-related patents, Nokia's 2,655, and Microsoft's 2,594. That was a key reason behind Google's colossal US\$12.5 billion purchase of Motorola Mobility, a handset maker that was losing money. But Google was not primarily interested in the handset business. Instead, it was buying Motorola's rich hoard of more than 1,000 mobile-related patents. Google recently sold the handset business to Lenovo, but kept all the patents.

Among large firms clashing in emerging industries such as mobile devices, patent fights are normal or even (somewhat) predictable. What are less predictable but no less damaging are attacks by patent "sharks" (or "trolls"). Trolls are patent-holding individuals or (often small) firms that sue manufacturers for patent infringement in order to receive damage awards for the illegitimate use of trolls' patents. While sharks and trolls are colorful labels, the jargon for them is "non-operating entities" (NOEs). In contrast to all the "operating entities" named in the first five paragraphs above, NOEs, by definition, had neither capability nor intention to commercialize their patents.

Traditionally, most NOEs would license their patents to manufacturers that would pay a licensing fee. But many trolls *hope* to be infringed and do everything they can to keep patents as invisible as possible—the jargon is to be a "submarine"—until the patents are illegitimately used by manufacturers. Trolls then pounce in surprise attacks, demanding compensation exceeding what they would reasonably expect from real licensing fees up front. In 1990, individual inventor Jerome Lemelson sued toymaker Mattel for infringing a coupling technology used in toy trucks. Although the court determined that Mattel inadvertently (not willfully) infringed Lemelson's patent, the court nevertheless awarded him US\$24 *million*—that was a lot of toy trucks. Most experts agreed that if Lemelson and Mattel had negotiated up front, Lemelson would not have been able to extract a licensing fee close to this astronomical sum. Such cases have motivated a lot of trolls. Although ethically dubious, such a strategy is not only profitable but also perfectly legal. "Operating entities" (manufacturers), especially high-tech ones, are well advised to prepare for shark attacks. Beefing up patent law expertise has become a crucial institution-based capability. One joke in high-tech industries is that firms must spend most of their R&D budgets on patent lawyers.

Sources: Based on (1) *Bloomberg Businessweek*, 2011, *Android's dominance is patent pending*, August 8: 36–37; (2) *Bloomberg Businessweek*, 2012, *Apple vs. Samsung: The longer view*, September 3: 32–33; (3) *BusinessWeek*, 2006, *The patent epidemic*, January 9: 60–62; (4) L. Cohen, U. Gurun, & S.

Kominers, 2014, *Patent trolls: Evidence from targeted firms*, working paper, Jindal School of Management, University of Texas at Dallas and Harvard Business School; (5) *Economist*, 2005, *Patent sense*, October 22: 5; (6) *Economist*, 2010, *The great patent battle*, October 23: 75–76; (7) *Economist*, 2011, *Inventive warfare*, August 20: 57–58; (8) *Economist*, 2011, *Patent applications*, November 19: 105; (9) *Economist*, 2012, *iPhone, uCopy, iSue*, September 1: 12–13; (10) M. Reitzig, J. Hendel, & C. Heath, 2007, *On sharks, trolls, and their patent prey*, *Research Policy*, 36: 134–154.

Why do firms such as Apple and Samsung take certain actions such as patent lawsuits? Once one side initiates an action, how does the other respond? These are some of the key questions in this chapter, which focuses on

competitive dynamics (Actions and responses undertaken by competing firms.) —actions and responses undertaken by competing firms. Since one firm’s actions impact rivals, the initiating firm would naturally like to predict its rivals’ responses *before* making its move. This process is called

competitor analysis (The process of anticipating rivals’ actions in order to both revise a firm’s plan and prepare to deal with rivals’ response.) , advocated by the ancient Chinese strategist Sun Tzu, who taught that you must know not only “yourself,” but also “your opponents.”

As military officers have long known, a good plan never survives the first contact with the enemy because the enemy does not act according to our plan. The key word is *interaction*—how firms interact with rivals. This chapter first discusses competition, cooperation, and collusion. Then, we draw on the institution-based and resource-based views to shed light on competitive dynamics. Attack, counterattack, and signaling are then outlined, with one interesting extension on how local firms fight multinational enterprises (MNEs) in emerging economies. Debates and extensions follow.

Chapter 11: Managing Global Competitive Dynamics Chapter Introduction

Book Title: WGU Economics

Printed By: Mike Benton (mbento6@wgu.edu)

© 2021 Cengage Learning, Cengage Learning

© 2026 Cengage Learning Inc. All rights reserved. No part of this work may be reproduced or used in any form or by any means - graphic, electronic, or mechanical, or in any other manner - without the written permission of the copyright holder.